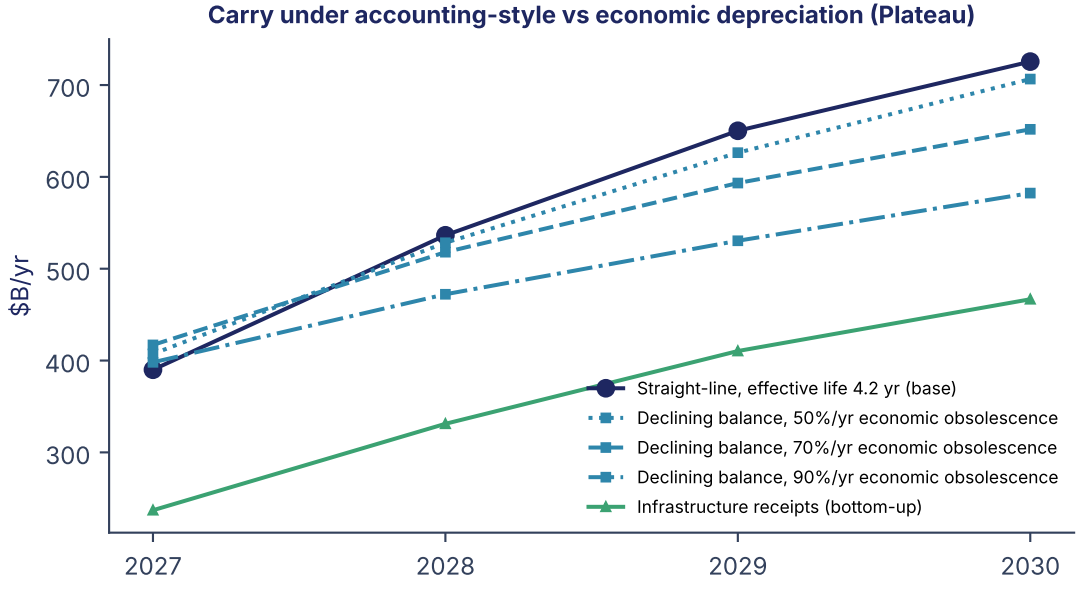
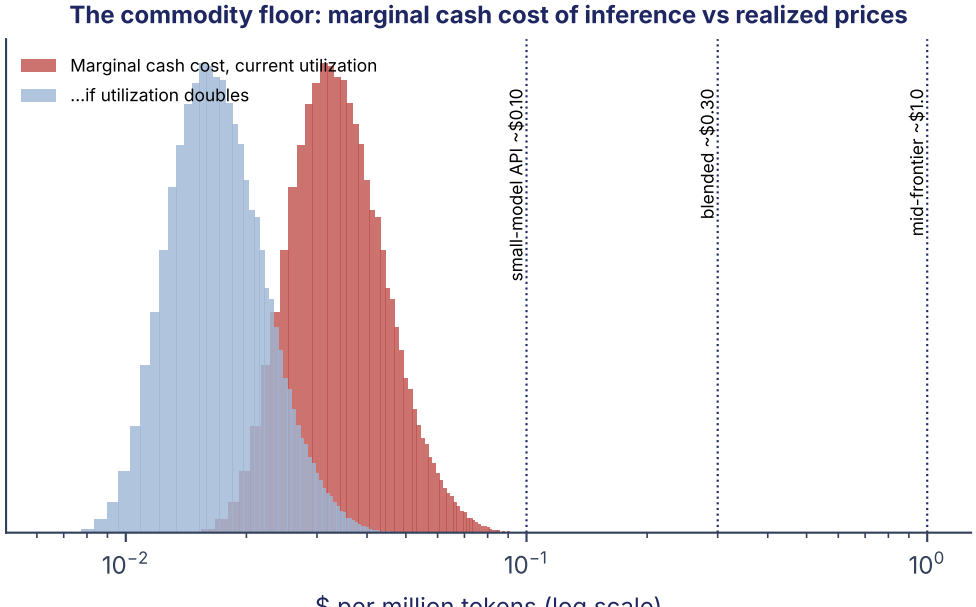

Carry under accounting-style vs economic depreciation (Plateau)
$B/yr
700
600
500
400
300
2027
2028
2029
2030
Straight-line, effective life 4.2 yr (base)
Declining balance, 50%/yr economic obsolescence
Declining balance, 70%/yr economic obsolescence
Declining balance, 90%/yr economic obsolescence
Infrastructure receipts (bottom-up)


The commodity floor: marginal cash cost of inference vs realized prices
Marginal cash cost, current utilization
...if utilization doubles
small-model API ~$0.10
blended ~$0.30
mid-frontier ~$1.0
10^{-2}
10^{-1}
10^{0}
$ per million tokens (log scale)